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ASEAN BRIEFING

From Dezan Shira & Associates

Export and Import Procedures in ASEAN: Best Practices

P.04 Export Procedures in ASEAN

P.07 Import Procedures in ASEAN

P.10 Taking Advantage of ASEAN's FTAs

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Introduction

ALBERTO VETTORETTI
Managing Partner

The member states of the Association of Southeast Asian Nations (ASEAN) have not only abolished almost all import and export duties on items traded between them but have also signed several Free Trade Agreements (FTAs) both bilaterally as well as regionally via their membership of the bloc. This combination of a single ASEAN market and the several bilateral and regional FTAs, including with Hong Kong, China, India, Japan, South Korea, Australia and New Zealand, are radically altering the global supply chain and manufacturing landscape, allowing the free flow of goods between all ASEAN member states and FTA partner countries.

Once the tariff reduction schedules of these FTAs are completed, ASEAN will offer close to zero import-export tariffs for much of emerging Asia, including the giant markets of China and India, possessing some 500 million middle class consumers between them. ASEAN therefore represents a massive trade bloc possessing FTAs of global strategic importance, offering a great opportunity for exporters and importers to trade regionally as well as internationally without tariff barriers. Businesses, with operations in ASEAN, can use the FTAs to gain easy access to new export markets for their products while also importing input material at low costs, and simplified export and import procedures.

In this issue of ASEAN Briefing magazine, we focus on these emerging opportunities and highlight the region's export and import procedures for the benefit of trading businesses. We begin by outlining the export procedures in each ASEAN member state. Next, we focus on import procedures in each ASEAN country. Finally, we discuss the importance of meeting the region's Rules of Origin (RoO) criteria for exporters and importers looking to take advantage of the individual ASEAN member states' FTAs as well as the bloc's regional FTAs.

With kind regards,

Alberto Vettoretti

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This Issue's Topic

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Export Procedures in ASEAN

By Dezan Shira & Associates

Brunei

Exporters first need to register with the Registry of Companies and Business Names (through the Ministry of Finance) in order to obtain a company registration number. Then, they should register with Brunei's Royal Customs and Excise Department (RCED). Afterwards, exporters will be able to make an account on the Brunei Darussalam National Single Window – an online portal which streamlines all subsequent submission of documents as well as customs clearance and payments.

Businesses exporting out of Brunei must provide Bill of Lading; Commercial Invoice; Customs Export Declaration; Packing List; Insurance Certificate; Export Permit; and Certificate of Origin.

Cambodia

Exporters first need to register with Cambodia's Department of Business Registration, under the Ministry of Commerce. Cambodia uses the Automated System for Customs Data (ASYCUDA) created under the United Nations Conference on Trade and Development (UNCTAD). To register with ASYCUDA, exporters require a Taxpayer Identification Number (TIN). To acquire a TIN, exporters must register with the General Department of Taxation, under the Ministry of Economy and Finance. Finally, exporters must register with the General Department of Customs and Excise. Subsequently, exporters need to register their value added tax (VAT) accounts with the General Department of Taxation (Ministry of Economy and Finance). Exporters operating out of Special Economic Zones (SEZs) must apply with the Free Zone Management Department of the General Department of Customs and Excise in Phnom Penh.

Businesses exporting out of Cambodia must provide Customs Export Declaration; Commercial Invoice; Packing List; Road Transport Document (if departing by land); Bill of Lading (if departing by sea); Terminal Handling Receipts (if departing by sea); Insurance Certificate; Export Permit; and Certificate of Origin.

Indonesia

Exporters are required to register with Indonesia's trade department and obtain a customs identification number (Nomor Identitas Kepabeanan, NIK), a personal identification number given by the Directorate General of Customs and Excise. In addition, exporting companies must already have a taxpayer identification number (NPWP) and one of the following business licenses: Trade license (SIUP) from the Ministry of Trade; Manufacturing license from the Ministry of Industry, or other licenses

issued by the relevant authority; PMA license issued by the Investment Coordinating Board (BKPM); or Exporter identification number (APE).

Businesses exporting out of Indonesia must provide Bill of Lading, Airway bill or other transport documents such as postal receipt, cargo receipt; Commercial Invoice; Customs Export Declaration; Packing List; Export declaration of goods (PEB); Insurance Certificate; Export Permit; and Certificate of Origin.

Laos

All exporters must first register with the Ministry of Industry and Commerce's Department of Enterprise Registration and Management. Not all exported products require a license. To determine the criteria for license requirements, Laos uses three categories based on the product for export. These are:

- Products which do not require a license;
- Products requiring a license under the automatic route; and
- Products requiring a license under the non-automatic route.

Exporters can secure these licenses from the Department of Imports and Exports (DIMEX). Products under the automatic route are licensed for the purpose of collecting statistical information whereas products under the non-automatic route require permission from DIMEX to be exported.

Businesses exporting out of Laos must provide Bill of Lading; Commercial Invoice; Packing list; Road transit document; Export Customs declaration; Copy of tax registration; and Copy of business license.

Malaysia

Not all goods exported from Malaysia require a license. To export goods which require a license, traders first must register with the Companies Commission of Malaysia. Once registered, a company must then apply for an export license from the Ministry of International Trade and Industry (MITI).

When exporting goods out of Malaysia, traders must provide Customs Export or Import Declaration; Commercial Invoice; Bill of Lading; Packing List; and Certificate of Origin.

Myanmar

To export goods from Myanmar, a company must register itself with the Directorate of Investment and Company Administration (DICA). Fortunately for overseas companies, the DICA recently created a digital single clearance window for registration called the One Stop Service (OSS). Companies can register themselves with the DICA for up to five years. Once registered with the DICA, a company must then register itself with Myanmar's Department of Trade (under the Ministry of Commerce). Registrations with the Department of Trade are limited to three year periods and cost Kyat 50,000 (US$36.50) per year. All exporters are also required to join the Myanmar Federation of Chambers of Commerce and Industry.

To export goods from Myanmar, a company must provide an export declaration form called CUSDEC—2 as well as the CUSDEC—4 Customs Valuation Form. Exporters also require to submit Export License; Invoice; Bill of lading; Packing list; Sales contract; Shipping instructions; Letter of credit or general Remittance or Exemption Certificate; Sample of goods; Fumigation certificate (when required); Phytosanitary certificate (when required), and Recommendation from concerned ministry (when required).

Philippines

First time exporters need to register with the Client Profile Registration System (CPRS) through the Philippine Exporters Confederation. The CPRS accreditation must be renewed annually, costs P1000 (US$20) and takes approximately 15 business days. For certain types of exporters, the Philippines requires additional registration. For instance,

coffee exporters must register with the Export Marketing Bureau. Exporters operating out of a special economic zone (SEZ) must register with the Philippine Economic Zone Authority (PEZA) while companies exporting out of free port zones must register with the specific free port. Once registered, exporters will receive a Unique Registration Number, necessary for all export activity.

Businesses exporting out of the Philippines must provide Packing List; Invoice; Bill of Lading; Export License; Customs Export Declaration; and Certificate of Origin.

Singapore

All goods exported from Singapore must be declared, though they are not subject to GST and duty. A certificate of origin can be acquired for any exported good created in Singapore through the online TradeNet platform. To begin the export process, the exporter must obtain a Unique Entity Number (UEN) by registering with the Accounting and Corporate Regulatory Authority (ACRA), or another relevant UEN issuance agency, which will allow the exporter to activate its Customs Account. To acquire a customs export permit, exporters may register themselves as a declaring agent or appoint a declaring agent to act on their behalf. Permit applications are submitted online through the TradeNet system.

If stated in the permit conditions or if the cargo being exported is a dutiable good, certain documents must be presented to checkpoint officers at the point of cargo lodgement. In such instances, both containerized cargo and conventional cargo require the approved customs export permit and supporting documents including the invoice, packing list, and the bill of lading or airway bill, in addition to having the permit number at hand.

Thailand

The procedures for exporting goods from Thailand have been centralized into the online e-Customs system. In order to register for the system, the exporter must already possess a 'digital certificate'. Once a digital certificate is in place, the exporter may proceed to register for the e-Customs system.

Two separate checks need to be made before goods are exported: firstly, to identify if goods require an export permit, and secondly, to ascertain if goods are considered 'red line'(as opposed to green line). In terms of red line goods, extra documentation is required before the shipment can leave Thailand. These include Invoice; Export License (if required); other relevant documents (e.g. Food and Drug Administration approval, destination information, etc.). Green line goods are clear to proceed.

Vietnam

In order to be able to conduct export business in Vietnam, a foreign investor must register with the Department of Planning and Investment (DPI). Additionally, foreign investors who wish to engage in export activities in Vietnam are required to obtain an Investment Certificate. Companies that wish to expand their current business operations in order to engage in export activities must follow the procedures for adjusting their Investment Certificates. Certain goods require the trading company to obtain export permits from the government.

Companies that export goods must submit a dossier of documents to the customs authorities. The dossier must include at least the company's business registration certificate and export business code registration certificate. Additional documents that may be requested by authorities depending on the exports in question include Bill of lading; Certificate of origin; Commercial invoice; Customs export declaration form; Packing list; and Technical standard/health certificate.

Import Procedures in ASEAN

By Dezan Shira & Associates

Brunei

Importers first need to register with the Registry of Companies and Business Names (through the Ministry of Finance) in order to obtain a company registration number. Then, they should register with Brunei's Royal Customs and Excise Department (RCED). Afterwards, importers will be able to make an account on the Brunei Darussalam National Single Window – an online portal which streamlines all subsequent submission of documents as well as customs clearance and payments.

Businesses importing into Brunei must provide the following documents Bill of Lading; Shipping Delivery Order; Commercial Invoice; Packing List; Import Permit; Customs Import Declaration; and Certificate of Origin.

Cambodia

Importers first need to register with Cambodia's Department of Business Registration, under the Ministry of Commerce. Importers would also require a TIN to register with ASYCUDA. To acquire a TIN, importers must register with the General Department of Taxation, under the Ministry of Economy and Finance. Finally, importers must register with the General Department of Customs and Excise. Subsequently, importers need to register their VAT accounts with the General Department of Taxation. Importers operating out of SEZs must apply with the Free Zone Management Department of the General Department of Customs and Excise in Phnom Penh. Businesses importing into Cambodia must provide Customs Import Declaration; Commercial Invoice; Packing List; Road Transport Document (if arriving by land); Bill of Lading (if arriving by sea); Import Permit; Insurance Certificate; Tax Certificate; Certificate of Origin; and Company Registration.

Indonesia

To be legally importing in Indonesia, importers – who may be a person or company – are required to register with Indonesia's trade department and obtain a customs identification number (Nomor Identitas Kepabeanan, NIK). Besides NIK, importers must obtain an Importer Identification Number (Angka Pengenal Import, API), which serves as a record in the database of importers and their import activities. All import activities are prohibited without the API.

Essentially, there are three types of import licenses available in Indonesia. : API-U (General Import License); API-P (Producer Import License); and a Limited Import License, also known as API Terbatas (API-T). These licenses are limited to a particular industry and do not permit the importation of goods not related to that sector of business.

Businesses importing into Indonesia must provide Commercial invoice, signed by the manufacturer or supplier as true and correct; Bill of lading, in three endorsed originals and four non-negotiable copies; Certificate of insurance; Packing list; Import permit; and Customs import declaration.

Laos

All importers must first register with the Ministry of Industry and Commerce's Department of Enterprise Registration and Management. Not all imported products require a license. To determine the criteria for license requirements, Laos uses three categories based on the product for import. These are:

- Products which do not require a license;
- Products requiring a license under the automatic route; and
- Products requiring a license under the non-automatic route.

Importers can secure these licenses from the Department of Imports and Exports (DIMEX). Products under the automatic route are licensed for the purpose of collecting statistical information whereas products under the non-automatic route require permission from DIMEX to be exported.

Businesses importing into Laos must provide Commercial Invoice; Carriers report; Packing list; Copy of business license; Copy of tax registration; Import customs declaration; and Copy of exporter license or registration.

Malaysia

Not all goods imported into Malaysia require a license. To import goods which require a license, traders first must register with the Companies Commission of Malaysia. Once registered, a company must then apply for an import license from the Ministry of International Trade and Industry (MITI).

When importing goods into Malaysia, traders must provide Customs Export or Import Declaration; Commercial Invoice; Bill of Lading; Packing List; and Certificate of Origin.

Myanmar

To import goods into Myanmar, a company must register itself with the Directorate of Investment and Company Administration (DICA). Fortunately for overseas companies, the DICA recently created a digital single clearance window for registration called the One Stop Service (OSS). Companies can register themselves with the DICA for up to five years. Once registered with the DICA, a company must then register itself with Myanmar's Department of Trade (under the Ministry of Commerce). Registrations with the Department of Trade are limited to three year periods and cost Kyat 50,000 (US$36.50) per year. All importers are also required to join the Myanmar Federation of Chambers of Commerce and Industry.

To import goods into Myanmar, a company must provide an import declaration form called CUSDEC—1 Import Declaration Form as well as the CUSDEC—4 Customs Valuation Form. In addition, importers require Import Licence; Invoice; Bill of lading, air consignment note, or truck note; Cargo release order; Terminal handling report; Packing list; Technical standard and health certificate (when required); and Recommendation from concerned ministry (when required).

Philippines

To register as an importer, businesses first need an Import Clearance Certificate from the Bureau of Internal Revenue. Importers then register with the Bureau of Customs (BOC) and set up an account with the Client Profile Registration System (CPRS). The Import Clearance Certificate is valid for three years while the Customs Client Profile Accreditation must be updated annually. The CPRS accreditation costs P1000 (US$20) and typically takes 15 working days to process.

Businesses importing into the Philippines must provide Packing list; Invoice; Bill of lading; Import Permit; Customs Import Declaration; and Certificate of Origin.

Singapore

To begin the import process, the importer must obtain a Unique Entity Number (UEN) by registering with the Accounting and Corporate Regulatory Authority (ACRA), or another relevant UEN issuance agency, which will allow the exporter to activate its Customs Account. In order to pay duties, GST, and other fees, importers must have an Inter-Bank GIRO (IBG) account with Singapore Customs.

To acquire a customs import permit, importers may register themselves as a declaring agent or appoint a declaring agent to act on their behalf. Permit applications are submitted online through the TradeNet system. When applying for the customs permit for containerized cargo, the relevant container number and shipper seal number must be declared. Various documents must be submitted to checkpoint officers when cargo is being cleared at an entry point. For both conventional cargo and containerized cargo, a printed copy of the approved customs permit and supporting documents such as the invoice, the packing list, and the Bill of Lading or Air Waybill are required for submission.

Thailand

The procedures for importing goods into Thailand have been centralized into the online e-Customs system. In order to register for the system, the importer must already possess a 'digital certificate'. Once a digital certificate is in place, the importer may proceed to register for the e-Customs system.

Two separate checks need to be made before goods are imported: firstly, to identify if goods require an import permit, and secondly, to ascertain if goods are considered 'red line'(as opposed to green line). In terms of red line goods, extra documentation is required before the shipment can be imported into Thailand. These include Bill of Lading or Air Waybill; Invoice; Packing List; Import License (if required); Certificates of origin; and other relevant documents (e.g. list of ingredients, technical standards certificates, etc.)

Vietnam

In order to be able to conduct import business in Vietnam, a foreign investor must register with the Department of Planning and Investment (DPI). Additionally, foreign investors who wish to engage in import activities in Vietnam are required to obtain an Investment Certificate. Companies that wish to expand their current business operations in order to engage in import activities must follow the procedures for adjusting their Investment Certificates. Certain goods require the trading company to obtain import permits from the government.

Companies that import goods must submit a dossier of documents to the customs authorities. The dossier must include at least the company's business registration certificate and import business code registration certificate. Additional documents that may be requested by authorities depending on the imports in question include Bill of lading; Cargo release order; Commercial invoice; Customs import declaration form; Inspection report; Packing list; Technical standard/health certificate; and Terminal handling receipts.

Taking Advantage of ASEAN's FTAs

By Dezan Shira & Associates

Besides the bilateral Free Trade Agreements (FTAs) that they have individually signed with other countries, each ASEAN member state is a signatory to the ASEAN Free Trade Area (AFTA) between themselves as well as the several FTAs that the regional trade bloc has signed with some of the major economies in the Asia-Pacific region. These include the ASEAN-Australia-New Zealand FTA (AANZFTA), the ASEAN-China FTA (ACFTA), the ASEAN-India FTA (AIFTA), the ASEAN-Korea FTA (AKFTA), the ASEAN-Japan Comprehensive Economic Partnership (AJCEP), and the ASEAN-Hong Kong, China FTA (AHKFTA).

These FTAs offer a great opportunity for exporters and importers to trade regionally as well as internationally without tariff barriers. Businesses, with operations in ASEAN, can use the FTAs to gain easy access to new export markets for their products while also importing input material at low costs, and simplified export and import procedures. Exporters and importers looking to take advantage of the individual ASEAN member states' FTAs as well as the bloc's regional FTAs, must first ensure that their products qualify as an originating good under the terms of the relevant FTA's Rules of Origin (RoO) criteria. To qualify as originating goods and become eligible for preferential tariff treatment available under the FTAs, the exported or imported items must either be:

- Wholly-obtained or produced entirely in an FTA member country; or
- Must have undergone a 'substantial transformation' in an FTA member country.

For the goods that are partially produced within an FTA member country, substantial transformation guarantees that a meaningful manufacturing process has taken place in the free trade area for the good to qualify as originating. It is important to note that the origin of these goods is dependent on the country where the last substantial transformation is performed.

PROFESSIONAL SERVICES

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Certificate of Origin

Essentially, for different FTAs, different RoO systems and requirements exist in terms of the methods used to determine the origin of the good. In all cases, regardless of the substantive criteria used for meeting the origin requirement, exporters belonging to a FTA member country must obtain a relevant certificate of origin (CO) for each shipment; verifying the origin of the product to take advantage of the tariff concessions available under the FTA and gain greater market access.

Certificate of Origin Issuing Authority

ASEAN member country	CO Issuing Authority
Brunei	Ministry of Foreign Affairs and Trade
Cambodia	Ministry of Commerce
Indonesia	Ministry of Trade (Directorate General of Foreign Trade)
Laos	Ministry of Commerce (Directorate of Import and Export Office No. 1)
Malaysia	Ministry of International Trade and Industry (Trade Services Division)
Myanmar	Ministry of Commerce (Directorate of Trade)
Philippines	Bureau of Customs (Export Coordination Division)
Singapore	Singapore Customs (Documentation Specialist Branch)
Thailand	Ministry of Commerce (Department of Foreign Trade)
Vietnam	Ministry of International Trade

Note: Self-certification is accepted by all member countries.

EU-Singapore
Free Trade Agreement Signed
By Piet Flintrop
ASEAN Briefing News

On October 19, 2018, the European Union (EU) and the Republic of Singapore signed a free trade pact – the EU-Singapore Free Trade Agreement (EUSFTA) - to deepen the economic relations between the two regions. Along with this deal, two other agreements have been signed between the two sides - the EU-Singapore Investment Protection Agreement (EUSIPA) and the EU-Singapore Partnership and Cooperation Agreement (ESPCA). The trade pacts signal both sides' strong commitment to free trade at a time of increasing protectionism and is also seen as a prelude to a future FTA between the EU and the Association of Southeast Asian Nations (ASEAN).

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Introduction

Dezan Shira & Associates is a multi-disciplinary professional services firm operating throughout the Asia-Pacific (APAC) region. We provide our clients with legal, audit, accounting, and advisory services.

Our network of 28 offices and 620 partners across 100 countries give us a unique advantage to help our Chinese clients invest in international ventures. Additionally, our multilingual Outbound Investments team allows our clients to utilize our services as a one-stop solution for multi-jurisdictional ventures.

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Dezan Shira & Associates' outbound investment team is committed to providing a comprehensive and specialized range of advisory services to Chinese companies interested in an overseas expansion.

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